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2.8 Law of Demand

Demand is essential for the creation, survival and profitability of a firm. "*Demand in economics is the desire to possess something and the willingness and the ability to pay a certain price in order to possess it*".

–J. Harvey

"*Demand in economics means desire backed up by enough money to pay for the good demanded*"

–Stonier And Hague

2.8.1 Characteristics of Demand

- **Price** : Demand is always related to price.
- **Time** : Demand always means demand per unit of time, per day, per week, per month or per year.
- **Market** : Demand is always related to the market, buyer and sellers.
- **Amount**: Demand is always a specific quantity which a consumer is willing to purchase.

2.8.2 Demand Function

Demand depends upon price. This means demand for a commodity is a function of price. Demand function mathematically is denoted as,

D = f (P) where, D = Demand, f = function
P = Price

2.8.3 Law of Demand

The Law of Demand was first stated by Augustin Cournot in 1838. Later it was refined and elaborated by Alfred Marshall.

Definitions

The Law of Demand says as "the quantity demanded increases with a fall in price and diminishes with a rise in price".

–Marshall

"The Law of Demand states that people will buy more at lower price and buy less at higher prices, other things remaining the same".

- Samuelson

Assumptions of Law of Demand

1. The income of the consumer remains constant.
2. The taste, habit and preference of the consumer remain the same.
3. The prices of other related goods should not change.
4. There should be no substitutes for the commodity in study.
5. The demand for the commodity must be continuous.
6. There should not be any change in the quality of the commodity.

Given these assumptions, the law of demand operates. If there is change even in one of these assumptions, the law will not operate.

Table 2.4 Demand Schedule

Price	Quantity Demanded
5	1
4	2
3	3
2	4
1	5

Explanation

The law of demand explains the relationship between the price of a commodity and the quantity demanded of it. This law states